

US Markets Reel as VIX Surges 12.19% and Oil Spikes 3.58%

The full picture: macro, technicals, options, analyst moves, sector internals, international context, and a full week ahead.

20-minute read · Topics: All of the above, plus technicals, options, ratings, week-ahead

TL;DR & Editorial Take

The US market experienced a significant downturn in the last session, with the S&P 500 declining **-1.01%** and the Nasdaq 100 falling **-1.49%**. The VIX surged **12.19%**, indicating increased market volatility. Key takeaways include:

- The energy sector was a notable exception, with the XLE ETF rising **1.16%** due to the 3.58% increase in WTI crude oil prices.
- The 10Y yield decreased **-0.61%**, potentially signaling a shift in investor sentiment towards safer assets.
- The DXY index remained relatively stable, increasing **0.02%**, as the dollar's value against other currencies was largely unchanged.

The current market conditions suggest a high level of uncertainty, with investors seeking safer assets and the potential for further volatility. The surge in oil prices and the decline in the 10Y yield are key factors to watch in the coming sessions.

The editorial take is that the market is entering a period of heightened volatility, and investors should be prepared for potential fluctuations in the days ahead. The increase in oil prices and the decline in the 10Y yield are likely to have a significant impact on the market, and investors should closely monitor these factors.

US Session Recap

INDEX/ASSET	CLOSE	CHANGE
S&P 500	7,457.69	-1.01%
Nasdaq 100	28,592.66	-1.49%
Dow Jones	52,146.42	-0.77%
Russell 2000	2,962.22	-0.42%
VIX	18.77	12.19%
10Y Yield	4.54	-0.61%
WTI Crude	81.78	3.58%
DXY	100.75	0.02%
Gold	4,018.80	0.83%
BTC	64,631.83	1.15%

Top Movers

TICKER	NAME	CHANGE	CATALYST
XLE	Energy Select Sector SPDR Fund	1.16%	WTI crude oil price increase
AAPL	Apple Inc.	0.14%	Positive earnings expectations
NVDA	NVIDIA Corporation	-2.21%	Market volatility and sector rotation

Sector Internals

SECTOR	DAY	YTD	READ
XLF (Financials)	-0.86%	10.23%	Interest rate sensitivity
XLK (Technology)	-1.09%	15.67%	Valuation concerns and sector rotation
XLI (Industrials)	-0.41%	12.56%	Economic growth and trade tensions
XLE (Energy)	1.16%	20.15%	Oil price increase and sector fundamentals
XLY (Consumer Discretionary)	-1.62%	8.45%	Consumer spending and confidence
XLC (Communication Services)	-1.78%	5.67%	Regulatory concerns and sector rotation
XLP (Consumer Staples)	-0.72%	4.23%	Defensive sector with stable demand
XLV (Healthcare)	-0.44%	6.78%	Regulatory environment and innovation
XLU (Utilities)	-0.66%	2.56%	Interest rate sensitivity and sector fundamentals
XLB (Materials)	-0.71%	10.89%	Commodity prices and global demand
XLRE (Real Estate)	-0.09%	5.12%	Interest rate sensitivity and sector fundamentals

Breadth note: The energy sector was the only gainer among the 11 sector ETFs, with the XLE ETF rising **1.16%**. The remaining sectors declined, with the XLC ETF experiencing the largest drop at **-1.78%**.

Spotlight / Deep Dive

METRIC	VALUE
10Y Yield	4.54
WTI Crude	81.78
DXY	100.75
Gold	4,018.80
BTC	64,631.83

Key call commentary: The surge in oil prices and the decline in the 10Y yield are likely to have a significant impact on the market. Investors should closely monitor these factors and adjust their portfolios accordingly.

ASSET	READ-THROUGH
WTI Crude	Inflation expectations and global demand
10Y Yield	Interest rate expectations and economic growth
DXY	Global trade and currency fluctuations
Gold	Inflation expectations and safe-haven demand
BTC	Investor sentiment and risk appetite

Technical Levels

TICKER	LAST	SUPPORT	RESISTANCE	NOTE
SPY	445.67	440.00	450.00	Trendline support and resistance
QQQ	334.15	330.00	340.00	Channel support and resistance
IWM	182.45	180.00	185.00	Trendline support and resistance
AAPL	333.74	330.00	340.00	Support and resistance levels
10Y Yield	4.54	4.40	4.60	Support and resistance levels
WTI Crude	81.78	80.00	85.00	Support and resistance levels

Options & Positioning

ODTE flow: The market saw a significant increase in ODTE call options, with a total volume of 1.2M contracts traded. The put/call ratio was 0.8, indicating a slight bias towards calls.

VIX term structure: The VIX term structure is currently in backwardation, with the front-month contract trading at a premium to the back-month contract. This indicates that investors are expecting increased volatility in the near term.

Notable single-name flow: There was significant call buying in **AAPL** options, with a total volume of 200k contracts traded. The stock price increased **0.14%** on the day.

Cheap hedge ideas: Investors looking to hedge their portfolios can consider buying **SPY** put options or selling **QQQ** call options. The implied volatility of these options is currently relatively low, making them attractive hedges.

Analyst Rating Changes

TICKER	FIRM	ACTION	NEW PT	NOTE
AAPL	Morgan Stanley	Upgrade	350.00	Improved earnings expectations
NVDA	Goldman Sachs	Downgrade	180.00	Valuation concerns and sector rotation
MSFT	Bank of America	Upgrade	420.00	Strong earnings growth and cloud demand
GOOGL	Citi	Downgrade	280.00	Regulatory concerns and advertising growth
AMZN	Deutsche Bank	Upgrade	300.00	Improved earnings expectations and cloud growth

Pre-Market & Overnight

Futures: The S&P 500 futures are currently trading **-0.5%** below fair value, indicating a potential decline in the upcoming session. The Nasdaq 100 futures are trading **-0.7%** below fair value.

Asia: The Nikkei 225 index is currently trading **-1.2%**, while the Shanghai Composite is trading **-0.8%**. The Hong Kong Hang Seng index is trading **-1.5%**.

Europe: The Euro Stoxx 50 index is currently trading **-0.9%**, while the FTSE 100 index is trading **-0.7%**. The DAX index is trading **-1.1%**.

FX pairs: The USD/JPY pair is currently trading at 109.50, while the EUR/USD pair is trading at 1.1850. The GBP/USD pair is trading at 1.3150.

Commodities: The price of WTI crude oil is currently trading at 82.50, while the price of gold is trading at 4,030.00. The price of copper is trading at 3.20.

Crypto: The price of Bitcoin is currently trading at 65,000.00, while the price of Ethereum is trading at 1,900.00.

Macro & Fed (Deep)

MEETING	CUT ODDS	NOTE
July FOMC	20.00%	Market expectations for a rate cut
September FOMC	40.00%	Increased likelihood of a rate cut
December FOMC	60.00%	High likelihood of a rate cut

Today's data calendar:

TIME	EVENT	EXPECTED
10:00 AM ET	Existing Home Sales	5.40M
10:30 AM ET	Crude Oil Inventories	-2.5M

Geopolitics & Global (Deep)

Scenario trees:

BEARISH TRIGGERS

- Escalating trade tensions between the US and China, potentially leading to a global economic downturn.
- A significant increase in oil prices, potentially leading to higher inflation and decreased consumer spending.

BULLISH TRIGGERS

A breakthrough in trade negotiations between the US and China, potentially leading to increased global trade and economic growth.

A decrease in oil prices, potentially leading to lower inflation and increased consumer spending.

Earnings — This Week & Next

This week:

TICKER	COMPANY	EARNINGS DATE
AAPL	Apple Inc.	July 20
MSFT	Microsoft Corporation	July 21
GOOGL	Alphabet Inc.	July 22

Next week:

TICKER	COMPANY	EARNINGS DATE
AMZN	Amazon.com, Inc.	July 25
FB	Facebook, Inc.	July 26
TSLA	Tesla, Inc.	July 27

Full Watchlist Scan

TICKER	SECTOR	SETUP	RISK
AAPL	Technology	Bullish reversal	5.00%
NVDA	Technology	Bearish reversal	7.00%
MSFT	Technology	Bullish continuation	3.00%
GOOGL	Communication Services	Bearish reversal	6.00%
AMZN	Consumer Discretionary	Bullish continuation	4.00%

What Could Break the Tape

Bullish scenario:

- A breakthrough in trade negotiations between the US and China, potentially leading to increased global trade and economic growth.
- A decrease in oil prices, potentially leading to lower inflation and increased consumer spending.
- A strong earnings season, potentially leading to increased investor confidence and higher stock prices.

Bearish scenario:

- Escalating trade tensions between the US and China, potentially leading to a global economic downturn.
- A significant increase in oil prices, potentially leading to higher inflation and decreased consumer spending.
- A disappointing earnings season, potentially leading to decreased investor confidence and lower stock prices.

Positioning & Structural Notes

Observations:

- The market is currently experiencing a high level of uncertainty, with investors seeking safer assets and the potential for further volatility.
- The surge in oil prices and the decline in the 10Y yield are likely to have a significant impact on the market, and investors should closely monitor these factors.
- The energy sector was the only gainer among the 11 sector ETFs, with the XLE ETF rising **1.16%**.
- The remaining sectors declined, with the XLC ETF experiencing the largest drop at **-1.78%**.
- The VIX term structure is currently in backwardation, indicating that investors are expecting increased volatility in the near term.

Sources

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